TYPES OF MOVING AVEREAGES

SIMPLE MOVING AVERAGE

SMA is a moving average calculation method where each observation or closing price is given equal weightage. This means, for a 10-day moving average, each day is given equal weightage. It is the traditional method to calculate simple averages and it gives a true picture of the existing trend.

WEIGHTED MOVING AVERAGE

WMA is a moving average calculation method where the recent closing prices are given higher weightage than the older ones. Assigned weights increase linearly. This means, in a 10-day WMA, day 1 will have 10 times more weightage than day 10. Weighted moving average moves faster and it can follow the closing price at a faster pace.

EXPONENTIAL MOVING AVERAGE

EMA is a moving average calculation method where the recent closing prices are given more weightage than the older ones. Assigned weights increase exponentially. This means, in a 10-Day EMA, day 1 will not just be 10 times more weighted than Day 10 but much higher. The difference is exponential. EMA moves the fastest and can follow the closing price at a much faster pace.